

won't get the money to pay the developer in full until the project is built. The lender will also only value the finished apartment, and their estimate might be less than what you paid as they tend to be conservative. They may also need to re-examine your strength as a loan candidate by taking another close look at your personal finances.

What to look for in a new apartment

For those of us who spent our childhoods and young adult years in standalone dwellings, we understand what makes a house a pleasure to live in. As Australians become more accustomed to the idea – and reality – of buying an apartment to afford a roof over their head, and more familiar with the spectrum of what is on offer, there are core aspects of what makes a great apartment that should not be overlooked.

Jonathan Richards, director of award-winning architecture and interior design firm SJB, loves apartments. He lives in them and he creates them for clients from all walks of life. Here's his checklist for first-time apartment buyers – be attuned to these during your many 'open for inspections', for both established and new apartments.

1. Location – it's not a popularity contest

Richards says a fundamental assessment is finding an area with energy and potential to evolve:

The more we have density in the cities, which is a really terrific step, the more a purchaser needs to be mindful of buying into an area where they can access all the basic amenities that you perhaps take for granted if you're living in a house. I personally look for the areas that are a little bit unpopular, because I think those fringe areas that have something really great about them but are unrealised are where the value is likely to increase. I have bought apartments in the past and I loved buying into areas that have gone from maybe a little bit scungy to kind of fashionable, and it does happen. To me, those are the areas that are exciting, that have a bit of 'X factor' to them.

I live in Darlinghurst [in Sydney] and I used to live in Potts Point before it was really fashionable – it was seen as Kings Cross. It had a really great energy and it felt a bit dangerous, but it ...